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**PRINCIPLES AND PRACTICE
OF MANAGEMENT**

November 2017

Time: 3 hours



THE KENYA NATIONAL EXAMINATIONS COUNCIL

BUSINESS EDUCATION SINGLE AND GROUP CERTIFICATE EXAMINATIONS

**DIPLOMA IN SUPPLY CHAIN MANAGEMENT
DIPLOMA IN BUSINESS MANAGEMENT
DIPLOMA IN HUMAN RESOURCE MANAGEMENT
DIPLOMA IN TRANSPORT MANAGEMENT
DIPLOMA IN TOURISM MANAGEMENT
DIPLOMA IN TOUR GUIDING MANAGEMENT
DIPLOMA IN INFORMATION COMMUNICATION TECHNOLOGY
DIPLOMA IN PROJECT MANAGEMENT
DIPLOMA IN INVESTMENT MANAGEMENT
DIPLOMA IN MARITIME TRANSPORT LOGISTICS
DIPLOMA IN DISASTER MANAGEMENT**

MODULE III

PRINCIPLES AND PRACTICE OF MANAGEMENT

3 hours

INSTRUCTIONS TO CANDIDATES

*This paper consists of **SEVEN** questions.
Answer any **FIVE** questions in the answer booklet provided.
Candidates should answer the questions in English.*

This paper consists of 2 printed pages.

**Candidates should check the question paper to ascertain that
both pages are printed as indicated and that no questions are missing.**

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Turn over

1. ✓ (a) Outline **five** characteristics of management. (10 marks)
- (b) Explain **five** reasons that could make plans fail to achieve set objectives. (10 marks)
2. ✓ (a) Explain **five** consequences of adopting a poorly designed organization structure. (10 marks)
- (b) Outline **five** measures that should be taken to ensure effective coordination in the organization.
 Training → good communication → Supervision
 Plans, Policies & Procedures → Motivation
 Rules & Regulation → Motivation
 Grouping
 (10 marks)
3. (a) Explain **five** limitations of using budgets as a tool of control. (10 marks)
- (b) Explain **five** benefits that an organization may derive from using employment agencies to recruit employees. (10 marks)
4. ✓ (a) Explain **five** benefits of visionary leadership to an organization. (10 marks)
- (b) Outline **five** factors that may motivate employees according to Herzberg's Two Factor Theory.
 - Proper use of resources → good communication → Challenging tasks
 - Delegation → Motivation → Incentives & rewards → Employee work can → Communication
 - Information → Motivation → Incentives & rewards → Employee work can → Communication
 - Subordination → Motivation → Incentives & rewards → Employee work can → Communication
 (10 marks)
5. ✓ (a) The overall purpose of management is to ensure the smooth running of the organization's operations. Explain **five** ways in which management fulfils this purpose.
 Improved communication → Motivation
 Training → Motivation
 Self-fulfillment → Motivation
 Allocation of enough resources
 (10 marks)
- (b) Explain **five** challenges that may be encountered when implementing plans in an organization.
 Resistance → Complexity
 A scarce resource → Cost
 Lack of technical personnel operation & Time consuming
 (10 marks)
6. (a) Explain **five** factors that may influence the nature of decisions made by the management of an organization.
 Economic situation → Technology
 Political factor → Market environment
 Social factors → Capital
 (10 marks)
- (b) Modern managers are expected to continuously monitor the market environment for their goods and services. Explain **five** reasons why this is necessary.
 Change in Demand & Production → Customer feedback
 Change in Preference & Production → Marketing & promoting the org.
 (10 marks)
7. (a) Explain **five** ways in which managers can apply the positive reinforcement theory advocated by B. F. Skinner to motivate employees. (10 marks)
- (b) Outline **five** challenges that managers may face in leading modern day organizations. (10 marks)

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